

- **Sellers determines the highest price** at which they can sell the desired number of shares

Example

Shares available for sale: **1,200**

Bids received from various parties:

Bidder	Quantity	Bid price
A	300	\$60
B	300	\$55
C	600	\$50
D	300	\$50
E	100	\$45
F	100	\$40

- As per above bid chart, at a price of \$50, we will get 100% subscription of our shares (300+300+600+300 = 1,500, this is above 1,200).
- E and F will be ignored as their bid price is really less.
- The final price will be \$50 for **all**.
- Since available shares is 1,200 and at a price of \$50 the shares that can be sold is 1,500, everyone will get proportionate number of shares.
- Ratio = $1,200/1,500 = 80\%$.
- Final result:
 - A gets $300 \times 80\% = 240$ shares @ \$50
 - B gets $300 \times 80\% = 240$ shares @ \$50
 - C gets $600 \times 80\% = 480$ shares @ \$50
 - D gets $300 \times 80\% = 240$ shares @ \$50
- (explanatory video on youtube as well)